COMPANY RESEARCH REPORTS

Learning Outcome

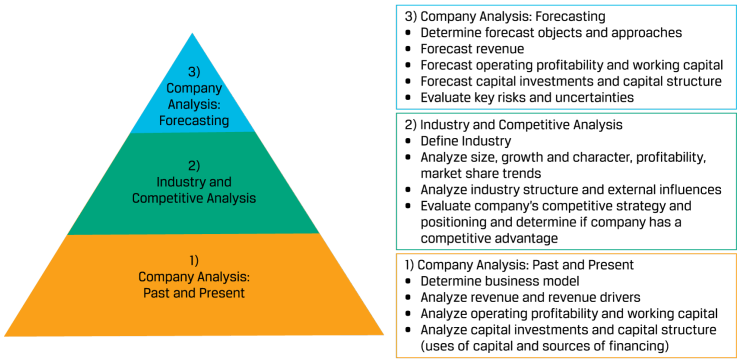
- describe the elements that should be covered in a thorough company research report

Analysts value and make investment recommendations on issuers' equity securities using scenarios of future earnings, cash flows, and financial position. These future scenarios are structured in the form of financial statements and are known as financial statement models. While a financial statement model is quantitative, it is not a mathematics problem to solve with a correct answer, but rather a quantitative expression of an analyst's forward-looking views. These views should be based on supporting evidence and justified by analysis.

The process of forming and justifying a view of an issuer's future financial results and position involves company and industry analysis and is the subject of this module and the next two. Exhibit 1 introduces a framework for company and industry analysis. This module focuses on the foundational block Company Analysis: Past and Present.

Exhibit 1:

Company and Industry Analysis Framework



▶ Expand / collapse Extended Description

Analysts present their company and industry analysis, as well as their valuation and investment recommendation, in a **company research report**. The structure, content, and tone of the report depend on the analyst's setting. Reports on a public issuer's equity securities for distribution to external clients (a "sell-side report"), for example, often consist of an extensive initial report (an "initiating coverage" report, or "initiation") when the analyst begins covering the security, followed by shorter reports on specific topics or that make updates to a recommendation after the analyst receives new information or conducts additional analyses, particularly after the issuer reports financial results. Analysts' reports solely for internal distribution to an audience already familiar with the issuer might be far shorter and delivered verbally or in a handful of presentation slides.

An example of the structure of an *initial* company research report for external distribution is shown in Exhibit 2. The primary audience is those who are not already knowledgeable about the issuer or security.

Exhibit 2:

Front Matter	▪ Issuer name and security identifiers (e.g., symbol, CUSIP) ▪ Analysts' recommendation (buy, hold, sell) and target buy or sell prices ▪ Disclosures, disclaimers, and other legally required information
Recommendation	▪ Analysts' recommendation ▪ Summary of key reasons supporting the recommendation
Company Description	▪ Discussion of issuer's business model and strategy ▪ Explanatory charts and figures—for example, disaggregation of revenues and profits by product, geography, etc.
Industry Overview & Competitive Positioning	▪ Industry size, growth rate and key drivers, market share trends, profitability—historical and outlook ▪ Competitive analysis such as Porter's Five Forces ▪ Analysis of external industry influences such as political, economic, social, technological, legal, and environmental ("PESTLE" analysis) ▪ Evaluation of company's position and strategy in the industry
Financial Analysis and Model	▪ Evaluation of key drivers of revenue, costs, profitability, cash flows, and the issuer's uses and sources of capital ▪ Forecasts of key drivers and supporting discussion ▪ Historical and forecasted financial statements
Valuation	▪ Estimates of company and security values with target price ▪ Typically includes relative and present value approaches ▪ Discussion of key inputs and scenario and sensitivity analyses
Environmental, Social, and Governance (ESG) Considerations	▪ Evaluation of ESG indicators and risks ▪ Ownership structure and management composition ▪ Executive compensation
Risks	▪ Evaluation of material downside and upside risks and discussion of how they are considered in the financial analysis and valuation

The CFA Institute Research Challenge

For examples of initial company research reports, we encourage you to visit the Past Research Challenge Champions section of cfainstitute.org, which has winning reports and presentations from the research competition that CFA Institute and CFA Societies around the world host each year. Teams of university students are

Subsequent company research reports are often shorter than initial reports. Their primary audience is those who are already familiar with the issuer or security and require an update based on new information and analyses or a change in the analyst's recommendation. Such a report for a company that recently reported quarterly financial results may be structured in the form shown in Exhibit 3. The structure of a subsequent report depends on the analyst's setting and the nature of the report.

Exhibit 3:

Subsequent Company Research Report Elements

Front Matter	▪ Analysts' names ▪ Issuer name ▪ Security and exchange identifiers (e.g., symbol, CUSIP) ▪ Analysts' recommendation: buy, hold, sell ▪ Current security price and analysts' target price ▪ Disclosures, disclaimers, and other legally required information
Recommendation	▪ Analysts' recommendation ▪ Summary of changes to the recommendation and support explanations
Analysis of New Information	▪ Comparison of quarterly actual results with expected results ▪ Analysts' interpretation of new information and changes to forecasts ▪ Historical and updated forecasted financial statements
Valuation	▪ Estimates of company and security values ▪ Discussion of changes from valuation in prior report
Risks	▪ Update of risk factors from prior report with discussion of changes

Question Set

1. Which of the following statements about initiation reports is true?

A. The structure, content, and tone of the report are independent of the analyst's setting.
B. The report makes updates to the recommendation after the issuer reports financial results.
C. The primary audience is those who are not already knowledgeable about the issuer or security.

Hide Solution

Solution:

C is correct. The primary audience is those who are not already knowledgeable about the issuer or security.

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meant for internal or external distribution and whether it is an in-depth initiation report or a subsequent report updating the reader after a change in recommendation or the release of the issuer's quarterly results.

B is incorrect, because the initial report is to help those who are not already knowledgeable to understand the issuer or security. A subsequent research report is used to update the audience after the release of financial results.

2. If you read a research report that includes both a Porter's Five Forces analysis and a PESTLE analysis, then *most likely*:

A. the authoring analyst is initiating coverage.
B. the report is updating a recommendation after an earnings release.
C. the report is written by a firm's analyst who has covered the company for many years.

Hide Solution

Solution:

A is correct. A Porter's Five Forces analysis and a PESTLE analysis are common elements in initiations and are less common in subsequent research reports, as they tend to evolve more slowly than other report elements such as financial analyses and models.

B and C are incorrect; these elements are common in subsequent rather than initial research reports.

3. The evaluation of a company's competitive strategy takes place before the:

A. analysis of revenue and revenue drivers.
B. analysis of operating profitability and working capital.
C. forecasting of revenue, operating profitability, and working capital.

Hide Solution

Solution:

C is correct. Forecasting takes place only after company analysis and industry and competitive analysis are complete. The evaluation of a company's competitive strategy is part of the industry and competitive analysis.

A is incorrect, because the analysis of revenue and revenue drivers is part of the first stage of analysis, where the analyst studies the company's past and present financial statements. As we shall see in Lesson 3, analysts start by analyzing the revenue line items first.

B is incorrect, because the analysis of operating profitability and working capital typically takes place before the industry and competitive analysis. The evaluation of the company's competitive strategy is usually part of the industry and company analysis, which takes place after completion of the analysis of operating profitability and working capital.

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